Business Management – **SL**

Research Project

Research Question:

To what extent does IKEA's 'People & Planet Positive strategy' contribute to its profitability?

Key concept: Sustainability

Examination session: May 2024

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1.0 Introduction

1.1 About the company

IKEA is a Swedish multinational company founded in 1958. The furniture retail company values functionality, design, and affordability in its products. Although it is a privately held company, it is the furniture global market leader. It is a franchise business with stores in over 60 countries, and the company is owned by the holding company Inter IKEA Holding.

The company is famous for its **sustainability**-oriented development and concern for the environment and society which is demonstrated in its business idea to offer well-designed products at affordable prices [Supporting Document 4].

IKEA has a strategy called 'People & Planet Positive' which focuses on three key challenges: unsustainable consumption, climate change, and inequality. The strategy encourages the development of **sustainability**-oriented products, services, and campaigns. It is revised annually and is fundamental for IKEA's business objectives [Supporting Document 4].

1.2 The Issue

Because of the recent unfavorable economic events, such as COVID-19 and the Russian-Ukrainian war, the company's operations were disrupted. Furthermore, IKEA "absorbed" the inflation-increased costs of raw materials and transportation as much as they did in the Financial Year 2021 [Supporting Document 3] to follow their mission of manufacturing well-designed products at low prices [Supporting Document 4]. Although the company is still determined to follow its current prices [Supporting Document 3], it has experienced a profit decrease in 2022 compared to 2021 [Supporting Document 2].

If the external factors continue being unfavorable, there is a further risk of IKEA's profitability decreasing. With the broad nature of "People & Planet Positive strategy", the strategy affects all aspects of IKEA, and, thus, its profits.

1.3 Key Concept and Research Question

Sustainability is an important factor that all modern businesses must consider. The UN defines **sustainability** as "meeting the needs of the present without compromising the ability of the future generations to meet their own needs" (United Nations). So, to include **sustainability** in their objectives, businesses must be considerate of the planet and people, not only profit.

Sustainability objectives largely impact IKEA's profitability and position as a global furniture market leader. Also, IKEA has been transparent about its **sustainability** and climate change successes and mistakes although there was no external legal factor to motivate them. All of IKEA's campaigns for increasing their **sustainability** are summarized within one broad strategy called the "People & Planet Positive" strategy. Thus, this IA will investigate IKEA through the lenses of the **sustainability** concept by answering the research question: "*To what extent does IKEA's 'People & Planet Positive strategy' contribute to its profitability in the financial year 2022?"*

2.0 Analysis and Evaluation

2.1. Circular Business Model

As IKEA is determined to become a circular business by 2030 [Supporting Document 4], its circularity is an important element of its "People & Planet Positive" Strategy. There is evidence of three out of five models implemented by IKEA: circular supply, resource recovery, and product life extension models.

To illustrate, IKEA developed products like second-hand touchpoints and spare furniture details according to the product life extension model. IKEA also reported that 56% of their sourced materials were renewable and 17% were recycled as per the circular supply and resource recovery models [Supporting Document 2]. The disadvantage, though, is that with the increase in product lifetime, customers will buy the products less frequently leading to decreasing sales revenue. On the other hand, prolonged product lifetime can also lengthen the product life cycle. To maintain and increase the revenue, the business attracts more customers through its **sustainability** objectives and lower prices. However, it is difficult to assess whether circular products are more popular in the IKEA product portfolio because most of them possess circular properties to varying degrees. IKEA developed a circularity index for this purpose in 2022 and will be implementing it in the following years [Supporting Document 2]. So, in the future, it would be possible to deduce whether there is a correlation between the circularity index of a product and its sales.

The defect of IKEA's investment strategy in social enterprises and other entities is its longevity and vagueness [Supporting Document 5]. It is hard to estimate the investments' average rate of return or payback period due to the lack of financial data and the turbulent external economic factors. Nonetheless, if the supply chain becomes more strained, an established **sustainable** system of renewable energy, manufacturers, and suppliers, can become more profitable as well.

These factors, the long-term investments, and the development of circular models help IKEA maintain its profitability in the future and make it a **sustainable** business.

2.3 Profitability Ratios

To assess the profitability of the strategy, the gross profit and profit margins can be used to compare the year 2021 and year 2022 (all numbers in millions of euros):

Year	Gross Profit Margin	Profit Margin
2021	$\frac{25615-21137}{25615} \times 100\% = 17.48\%$	$\frac{1856}{27578} \times 100\% = 6.73\%$
2022	$\frac{27578-23404}{27578} \times 100\% = 15.14\%$	$\frac{1034}{25615} \times 100\% = 4.04\%$

Table 1. IKEA profitability ratios in 2021 and 2022 [Supporting Document 3]

IKEA experienced a 2.34% gross profit and 2.69% profit margins decline. This could be explained as an outcome of unfavorable external factors like COVID-19 and wars. The company explains the decrease with rising costs of goods sold and transportation [Supporting Document 3].

While the salaries and wages expense could increase because the number of workers has also increased, IKEA has been consistently growing its human capital over the years (see Figure. 1). Thus, it is unlikely that IKEA has an unsustainable over-hiring problem.

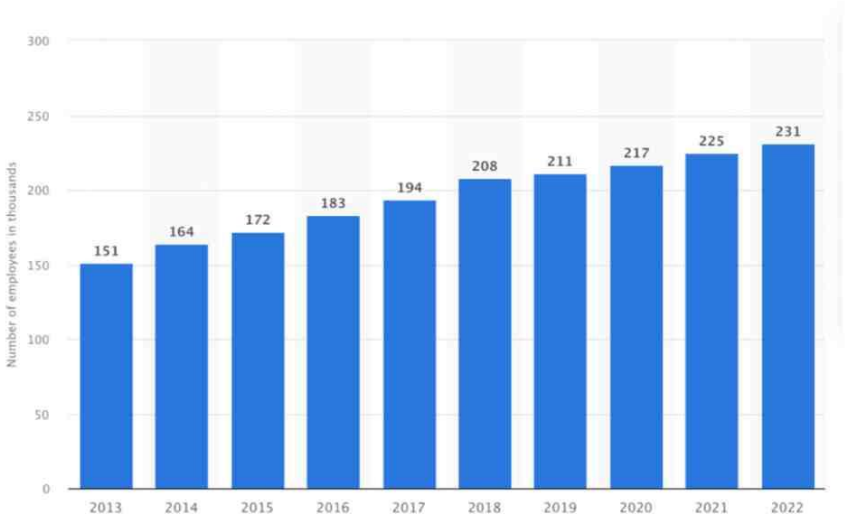


Figure 1. Number of employees of the IKEA Group worldwide from 2013 to 2022 (in thousands) ("Number of Employees of the IKEA Group Worldwide from 2013 to 2022")

While the profitability ratios are not difficult to use, IKEA's ratios must be compared with one of its biggest furniture market competitors Wayfair for fuller context (all numbers in millions of dollars):

Year	Gross Profit Margin
2021	$\frac{3895}{13708} \times 100\% = 28.41\%$
2022	$\frac{3416}{12218} \times 100\% = 27.96\%$

Table 2. Gross Profit Ratios for Wayfair in 2021 and 2022 (Wayfair, 2023)

Like IKEA, Wayfair had a GPM decrease from 2021 to 2022. So, IKEA likely accurately explains the trend as caused by external factors affecting the global market. Although Wayfair's GPM is almost twice as high as IKEA's, Wayfair reported a $1.3 billion net loss in 2022 and a $131 million net loss in 2022 (Wayfair, 2023). The experienced losses were likely caused by expenses.

Overall, despite lower GPM, IKEA remains profitable unlike the competitors with higher GPM. This GPM is **sustainable** for the business due to the long-term investments and circular strategies discussed earlier.

2.4 Triple Bottom Line

2.4.1 Planet

Aside from the "Circular & Climate Positive" component of the "People & Planet Positive" strategy discussed in 2.1, another area of **sustainable** focus is "Healthy & Sustainable living". Its goal is to inspire external stakeholders to have a better and healthier lifestyle both for themselves and for the planet [Supporting Document 4].

The trend of IKEA's actions is such that it offers products that would be economical for consumers in the future. Instead of waiting for pressure groups to demand more **sustainable** practices, it does the opposite and persuades the customers to follow **sustainable** practices. Proving the product development strategies profitable, the second most popular reason for buying IKEA products is its practicality, with 16.53% of survey respondents choosing it (see Figure 2) (Real Research Media, 2021). So, we can conclude that their strategy is successful in attracting customers with the unique selling point of **sustainability** and corporate social responsibility.

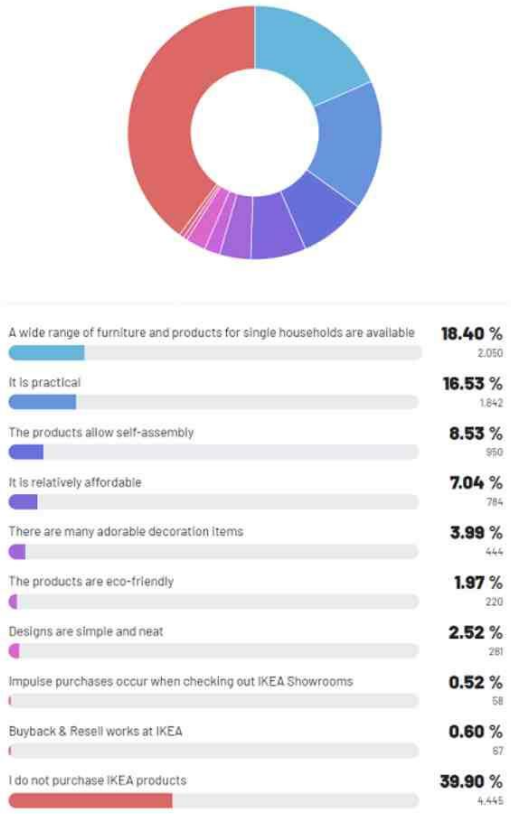


Figure 2. Responders' reasons for buying IKEA (Real Research Media, 2021)

The company's primary materials are either renewable (wood and cotton) or recyclable (glass) [Supporting Document 1]. However, there is an increased competition for wood. Because IKEA only sources from responsibly managed forests, it supports small forest owners certified both financially and organizationally to become FSC certified [Supporting Document 2]. IKEA actively complies with the U.S. Lacey Act against illegal logging, partnering with organizations like the Timber Retail Coalition (TRC) and Forest Legality Alliance (FLA) to encourage legal wood trade. Despite the challenges and long-term nature of these investments, they can protect biodiversity and the resources' supply and control costs by reducing price fluctuations in the long-term [Supporting Document 1]. This cost decrease will lead to the profitability increase.

Overall, IKEA's value of environmental **sustainability** is likely one of the reasons for its low-to-medium profitability.

2.4.2 People

Human resources practices can also help a business achieve its **sustainability** goals: a positive work culture and strong company values can encourage employees to implement **sustainable** practices in their daily lives. Additionally, efficient motivation techniques can decrease the labor turnover rate and, consequently, the training expenses.

One of the focus areas of the "People & Planet Positive strategy" is "Fair & Equal" aimed at fighting inequality [Supporting Document 2]. IKEA led several activities during the year 2022: started introducing "Responsible Wage Practices", increased focus on preventing child rights risks in the deeper supply chain, "improved" the gender ratio, and created an investigative cross-organizational team. IKEA added that the war in Ukraine "overshadowed" the year as the business provided humanitarian support to the people [Supporting Document 2].

Regarding work culture, the CHRO at Ingka Group—the biggest IKEA franchisee operating most IKEA retail shops—reports that 83% of their co-workers rate the company as "a great place to work" (Werber, 2022). Moreover, the company also insources 90% of their managers, stimulating the motivation and loyalty of the employees and decreasing the turnover rate (Kelly, 2023). However, it seems that few employees find **sustainability** ingrained in their jobs despite IKEA's effort to emphasize it within the organization [Supporting Document 5].

As IKEA heavily relies on the primary and secondary sectors, it focuses on maintaining positive relationships with its suppliers and manufacturers [Supporting Document 1].

Although the “Fair & Equal” component is unsuccessful in cultivating **sustainability** values in employees, it increases job satisfaction and, therefore, reduces expenses on hiring and training new employees.

2.4.3 Profit

Recent economic and environmental events are not advantageous to IKEA due to IKEA’s dedication to its **sustainability** goals via the implementation of the Planet & People Positive Strategy.

Despite the 7.7% revenue increase in the Financial Year 2022 compared to the Financial Year 2021 [Supporting Document 3], the quantity of sales has not grown indicating that the target audience of IKEA has less spending power due to the external economic factors. One of IKEA's goals is to provide affordable furniture. Nonetheless, IKEA has increased the prices by up to 80% due to the raw materials price increase caused by the pandemic in 2020 and 2021 (Davies and Hillary, 2021), the Russian-Ukrainian war in 2022, and inflation (Murphy, 2022).

Additionally, as it is seen from the profitability ratios, IKEA’s profitability is also highly dependent on external factors.

3. Conclusion

The “People & Planet Positive strategy” affects circularity, **sustainability**, job satisfaction, sales revenue and profitability of IKEA to a great extent. The research suggests that IKEA’s innovative and **sustainable** products and well-planned investments in **sustainable** development helped it maintain its profitability.

In recent years, IKEA, like many other businesses, has encountered challenges due to increased inflation, economic and political factors, and increased competition. They encountered a 2.69% profit margin decline. However, in comparison with Wayfair, IKEA’s organization is more financially stable due to its long-term vision and circularity: IKEA remains profitable and Wayfair is repeatedly in loss despite Wayfair’s times higher Gross Profit Margin. IKEA also maintains its popularity due to its products’ practicality, circularity and longer product lifetime. Triple Bottom Line analysis additionally shows that although the employees do not feel strong implementation of **sustainability** in their job, they have high satisfaction which decreases the costs of training.

The research project is limited in evaluating an average rate of return on investment because of the lack of open-access data. Overall, IKEA’s **sustainable** practices like “People & Planet Positive” strategy make it a great example of a profitable business.

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Business Management – **SL**

Supporting Documents

Research Question:

To what extent does IKEA's 'People & Planet Positive strategy' contribute to its profitability?

Key concept: Sustainability

Candidate number: ksm529

Examination session: May 2024

SUPPORTING DOCUMENT 1:

Date: July 28, 2022

Link: Catalan, Maria. "IKEA's Supply Chain: Growth on Sustainability", 28 July 2022, hdl.handle.net/10315/40822. Accessed 5 Nov, 2023.

In relation to the above table that summarizes the sustainable strategies of IKEA in every step of its value chain, we dive further into its specifics tackling each identified major factor that contributes greatly to its sustainable profitability. In IKEA's 2021 Sustainability Report, it was stated that the largest factor that contributes to the company's climate footprint comes from the extraction of its raw materials at 52.2% amongst other causes. The company uses mainly cotton, wood, and glass materials in their products – which are renewable (cotton and wood) and glass (recyclable). The ultimate objective is to 100% sustainably sourced cotton and wood. In the said recent report, 100% of cotton is responsibly sourced since 2016 while wood had made improvements from only being 61% sustainably sourced in 2016 to a jump of 99.50% economically sourced in 2021. All suppliers precisely follow IWAY, IKEA's Code of Conduct, and are expected to comply with all criteria. To further strengthen and extend its sustainability goals to its providers, the company takes part in various programs specific to the material. For their cotton sources, IKEA works with WWF (World Wildlife Fund) and is a co-founder of the Better Cotton Initiative (BCI). For wood, the organization is compliant with the U.S. Lacey Act on illegal logging and is an alliance with the promotion of legal wood trade such as the Timber Retail Coalition (TRC) and Forest Legality Alliance (FLA). While challenging and a long-term shot, IKEA considers these investments as opportunities that are vast in the long run. Not only are they able to safeguard biodiversity and ensure the availability of these resources but also, limited price volatility which means costs are controlled down the line.

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3.5.1. Supply Chain Framework

The adaptation of the organization's multiple Supply Chain Management techniques has made it possible for IKEA to offer products to their customers that are stylish yet high-quality and made at low prices – this follows its company purpose "to create a better everyday life for the many people." The corporation has aligned its capabilities to their belief resulting in the creation of its Supply Chain strategies through the efficient utilization of resources and the promotion of eco-friendly product designs. (Abdalla, 2020).

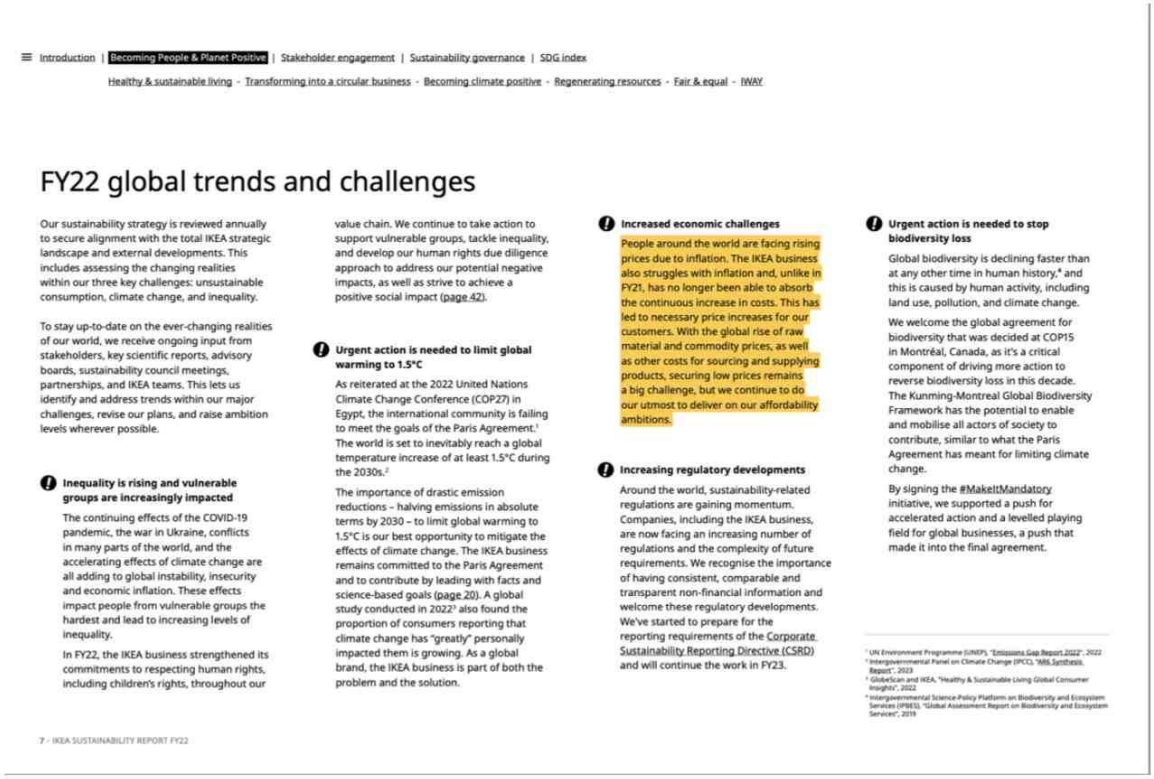
IKEA's supply chain consists of three sectors about the different phases of the value chain. The Primary Sector is for the acquisition of raw materials, the Secondary Sector is for the manufacturing of the products, and the Tertiary Sector is for the goods dissemination and retail positioning. By organizing the operations within each of the sectors, the objective to have a sustainable supply chain is met with positive implications for the environment. (Abdalla, 2020).

IKEA prioritizes its relationship with its suppliers as it is not a primary sector company which means it is reliant on others to provide their needed raw materials. The primary sector is responsible for providing, producing, and delivering resources for the development and creation of products. (Clara, 2014). While the quality of the sourced material is important, the business seriously considers the source of the resources. IKEA's supply chain policies are critical in the negotiation of the prices and ensure rules, procedures, and conditions in the sourcing facilities are in strict abidance to its standards. (IKEA, 2022).

SUPPORTING DOCUMENT 2:

Date: 2022

Link: IKEA. “IKEA Sustainability Report FY22”, 2022. Accessed 2 Nov. 2023.



FY22 global trends and challenges

Our sustainability strategy is reviewed annually to secure alignment with the total IKEA strategic landscape and external developments. This includes assessing the changing realities within our three key challenges: unsustainable consumption, climate change, and inequality.

To stay up-to-date on the ever-changing realities of our world, we receive ongoing input from stakeholders, key scientific reports, advisory boards, sustainability council meetings, partnerships, and IKEA teams. This lets us identify and address trends within our major challenges, revise our plans, and raise ambition levels wherever possible.

Inequality is rising and vulnerable groups are increasingly impacted

The continuing effects of the COVID-19 pandemic, the war in Ukraine, conflicts in many parts of the world, and the accelerating effects of climate change are all adding to global instability, insecurity and economic inflation. These effects impact people from vulnerable groups the hardest and lead to increasing levels of inequality.

In FY22, the IKEA business strengthened its commitments to respecting human rights, including children's rights, throughout our value chain. We continue to take action to support vulnerable groups, tackle inequality, and develop our human rights due diligence approach to address our potential negative impacts, as well as strive to achieve a positive social impact (page 42).

Urgent action is needed to limit global warming to 1.5°C

As reiterated at the 2022 United Nations Climate Change Conference (COP27) in Egypt, the international community is failing to meet the goals of the Paris Agreement.[1] The world is set to inevitably reach a global temperature increase of at least 1.5°C during the 2030s.[2]

The importance of drastic emission reductions – halving emissions in absolute terms by 2030 – to limit global warming to 1.5°C is our best opportunity to mitigate the effects of climate change. The IKEA business remains committed to the Paris Agreement and to contribute by leading with facts and science-based goals (page 20). A global study conducted in 2022[3] also found the proportion of consumers reporting that climate change has “greatly” personally impacted them is growing. As a global brand, the IKEA business is part of both the problem and the solution.

Increased economic challenges

People around the world are facing rising prices due to inflation. The IKEA business also struggles with inflation and, unlike in FY21, has no longer been able to absorb the continuous increase in costs. This has led to necessary price increases for our customers. With the global rise of raw material and commodity prices, as well as other costs for sourcing and supplying products, securing low prices remains a big challenge, but we continue to do our utmost to deliver on our affordability ambitions.

Increasing regulatory developments

Around the world, sustainability-related regulations are gaining momentum. Companies, including the IKEA business, are now facing an increasing number of regulations and the complexity of future requirements. We recognise the importance of having consistent, comparable and transparent non-financial information and welcome these regulatory developments. We've started to prepare for the reporting requirements of the Corporate Sustainability Reporting Directive (CSRD) and will continue the work in FY23.

Urgent action is needed to stop biodiversity loss

Global biodiversity is declining faster than at any other time in human history,[4] and this is caused by human activity, including land use, pollution, and climate change.

We welcome the global agreement for biodiversity that was decided at COP15 in Montréal, Canada, as it's a critical component of driving more action to reverse biodiversity loss in this decade. The Kunming-Montreal Global Biodiversity Framework has the potential to enable and mobilise all actors of society to contribute, similar to what the Paris Agreement has meant for limiting climate change.

By signing the #MakeItMandatory initiative, we supported a push for accelerated action and a levelled playing field for global businesses, a push that made it into the final agreement.

[1] UN Environment Programme (UNEP), “Emissions Gap Report 2022”, 2022
[2] Intergovernmental Panel on Climate Change (IPCC), “AR6 Synthesis Report”, 2023
[3] GlobeScan and IKEA, “Healthy & Sustainable Living Global Consumer Insights”, 2022
[4] Intergovernmental Science-Policy Platform on Biodiversity and Ecosystem Services (IPBES), “Global Assessment Report on Biodiversity and Ecosystem Services”, 2019

Commitments and goals

- Designing every product from the very beginning to be reused, refurbished, remanufactured and eventually – after all other possibilities have been explored – recycled, by applying our circular product design principles during the product development process.
- Aiming to only use renewable or recycled materials by adapting and finding new sources and developing new materials.
- Finding circular solutions for existing and new customers to acquire, care for, and pass on products.
- Taking the lead and joining forces with others through advocacy, collaboration, and business partnerships.

FY22 summary of progress

During the year, we continued to use our circular product development roadmaps to secure all our products will have circular capabilities by 2030.

In FY22, we improved the circular capabilities of several products, including our soft toy range (page 37), RÖNNINGE extendable tables (page 16) and our best-selling BILLY bookcase (page 16). To improve the accuracy of measuring the circular capabilities of our products, we're updating the Key Performance Indicator (KPI), which tracks the corresponding commitment. Because of this ongoing work, we don't have comparative figures for the circular fulfilment rate of our products to report against last year's performance.

After years of testing and running different circular customer offers in various IKEA markets (such as buy-back programmes, selling second-hand products, and providing spare parts), we have defined key development areas for the IKEA Core Circular Customer Offer. These include furniture spare parts, circular services, digital/physical second-hand touchpoints, etc. We're working on the details to ensure the offer meets customer needs.

Our commitment to enabling customers to acquire, care for and pass on products in circular ways will also support us in complying with new circular economy legislation. The testing of sofa repair and refurbishment in Poland continued in FY22 as one of our ongoing customer offer tests. In FY22, the in-store repair initiative showed the importance of making furniture spare parts more available to customers. It also proved that the circular offer can be both convenient for customers and profitable for the business at the same time.

In FY22, we also continued working towards our aim of only using recycled and renewable materials (page 36). Our initiative to produce mattresses from recycled foam (page 17) is one of several innovative programmes in progress. In FY21, we reported that 56% of the materials we sourced were renewable, and 17% were recycled. We're currently working to implement a data collection tool that will increase the efficiency and accuracy of our reporting and are therefore not able to update these figures for FY22. We plan to report figures for FY23.

Finally, we continued to engage with policymakers and other partners to advocate for a circular economy, including the Ellen MacArthur Foundation (EMF), the European Commission (page 18), and the European Furniture Industry Confederation (EFIC) (page 18).



FY22 key activities

Wood

Wood is the most used material in the IKEA range.[1] It's part of our identity and Swedish heritage and includes particle board, fibreboard, paper-based products and solid wood.

IKEA wood consumption[2]
(million m³ Round Wood Equivalent (RWE))

Includes virgin and recycled wood as well as paper and industrialised bamboo in IKEA products and indirect materials e.g. packaging and communication materials



Approximately 15% of the wood used in IKEA products is recycled.

In FY22, the amount of wood used in the IKEA business decreased to 20 million m³ RWE (FY21: 21 million m³ RWE), mainly due to lower sales quantities. 15% of the wood used in IKEA products is recycled (FY21: 14%). As part of our commitment to drive innovation to use wood in even smarter ways, we've set a goal to have at least a third of the wood in the IKEA range be recycled wood by 2030. As demand for recycled wood remains high, we've increased actions to close the remaining gap. We've initiated five projects spanning several countries to accelerate the capacity build-up for recycled wood and are working with our partners and patenting new recycling technologies to increase recycled wood use (page 36).

We reached our goal to only use wood from more sustainable sources in FY20, and the challenge now is to secure this level every year going forward. In FY22, 99.9% of total wood used was either FSC-certified or recycled.

During FY22, to meet the ambitions set in the IKEA Forest Positive Agenda 2030, as well as expectations from IKEA customers and external stakeholders, and requirements from changing legislation and global development trends, we completed our sixth revision of the IWAY Forest Materials Section.[3] We've extended its scope to include more forest materials than just wood, for example cork, paper, and packaging material. It's now applicable for forest materials used across all operations and home furnishing products (page 49).

Due to the war in Ukraine, we have stopped global purchasing of wood from Russia and Belarus following Inter IKEA Group's decision to scale down business in the market.

Europe remained the main wood-sourcing region for materials used in IKEA home furnishing products, with over 80% of all wood use in IKEA products coming from this continent. However, because of the turbulent times and rising energy costs, there's increased competition for wood. We remain committed to sourcing wood from responsibly managed forests, and we see opportunities for the development of FSC-certified sources in markets where forests lack responsible management.

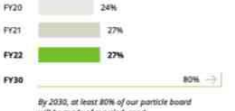
As the world transitions away from virgin fossil materials, demand for forest products is also increasing, adding more pressure on forest resources. In addition, hundreds of millions of people rely on forests for their livelihoods worldwide.[4] Responsibly managed forests can support the livelihoods of people who depend on forests, safeguard biodiversity and provide a sustainable wood supply, as well as help to mitigate climate change by removing and storing carbon. Read more in the IKEA Climate Report FY22.

[1] Based on purchasing value.
[2] To strengthen the way we present our virgin wood use versus our recycled wood consumption, we are in a process to further develop how we measure and present these figures. We plan to use a new calculation method from FY23 onwards.
[3] The IWAY Forest Materials Section is part of IWAY, the IKEA supplier code of conduct (page 48).
[4] United Nations Environment Programme (UNEP), "About forests", 2022
[5] At the beginning of March 2022, Inter IKEA Group and Ingka Group announced the pausing of IKEA operations in Russia and Belarus. In June, the decision was made to stop IKEA operations in these countries, and we have been scaling down, step by step, since that date.

Wood sources FY22
(% of total virgin, recycled wood, paper materials and industrialised bamboo used in home furnishing products)



Share of recycled wood in particle board (%)



By 2030, at least 80% of our particle board will be made of recycled wood.



Increasing transparency about origin of wood in IKEA products

The IKEA business is moving toward greater transparency with an industry-first global wood supply map, sharing where all the wood material (excluding paper) in IKEA products came from during FY22, and more information about why it plays such an essential role in the range. The map also includes new information about wood species, regions where it comes from, volumes and how the IKEA business works to improve forest management across different markets. By showing where the wood in our products comes from, we want to lead by example and increase transparency around our wood use.

Read more.

Supporting small forest owners to achieve FSC certification

In FY22, together with representatives from FSC, the IKEA business hosted a meeting in Estonia for small forest owners from the Baltic countries and the Czech Republic. For many years, we've supported small independent forest owners in Europe to become more sustainable and achieve FSC certification. Because these forestry markets are scattered and fragmented, this has been a challenge. The support we offer is not only financial, but also organisational, bringing many forest owners together around reducing costs and FSC certification.

Group certification is one of the easiest and the most cost-efficient ways for these private forest owners to achieve FSC certification. This is especially important for small forest owners. Another benefit of group FSC certification is knowledge-sharing among forest owners.

Call for urgent climate action at COP27

The IKEA business participated at the United Nations Climate Change Conference (COP27) in November 2022 in Egypt. We contributed by engaging in topics such as what businesses can do to limit climate change to 1.5°C and protect and enhance biodiversity, as well as the role responsible forest management plays in both mitigating and adapting to climate change, including the importance of stopping deforestation.

Rattan growth study for commercial species in Indonesia and Vietnam

During FY22, the IKEA business used about 6,000 tonnes of dried rattan. During the year, the IKEA business worked together with the Center for International Forestry Research (CIFOR) in Indonesia and WWF in Vietnam to study annual rattan growth and stock of selected rattan species in Central and Southeast Sulawesi, Indonesia, and in natural forests in Central Vietnam. The objective of the study is to estimate sustainable harvest volume, including harvest intensity and rotation for selected commercial rattan species, which could be used as a basis to define yearly sustainable harvest volume for rattan species used in IKEA products. Furthermore, this knowledge is important to understand what needs to be developed to increase the preservation, utilisation and conservation of genetic resources.





Working side by side with WWF for 20 years

Since 2002, WWF and the IKEA business have worked together to protect and manage natural resources and shape industry practices. The 20-year partnership began with projects in forestry before expanding into cotton, freshwater stewardship and climate action. Today, the partnership runs projects in 15 countries and is working to protect landscapes, enhance biodiversity, and empower local communities.

Over the course of the partnership, WWF and the IKEA business have, for example, directly supported: FSC certification of more than 36 million hectares of forests; 400,000 tree plantations to control soil erosion and retain soil moisture and carbon through a project in Pakistan; and the creation of a pathway to improve river health and biodiversity in Türkiye and India.

Read more.

Commitments and goals

Being a responsible business and contributing to resilient societies

- Respecting human rights and children's rights by operationalising the UN Guiding Principles on Business and Human Rights and the Children's Rights and Business Principles, ensuring we address our most critical human rights risks and impacts across our value chain. We also commit to promote human rights and children's rights in society.
- Ensuring ethical business practices, including combating corruption, securing ethical data handling and digital technology, complying with both the letter and the spirit of the law when it comes to corporate tax policies, and being transparent about taxes paid.
- Securing a strong approach in relation to climate, health, political and social justice crises to secure the safety, livelihoods and resilience of our co-workers and partners across our value chain.
- Engaging with communities building on our role as a home furnishing business and leader in life at home to create a positive social impact.

Providing and supporting decent and meaningful work across the IKEA value chain

- Providing living wages and income in IKEA operations and supporting the same among our business partners and in the wider sectors of which we are a part.
- Providing and supporting safe and healthy work, labour rights, and social protection and striving towards securing stable and predictable work for everyone in the IKEA value chain. Securing a just transition to a net-zero and circular economy with focus on enabling decent work through, for example, upskilling and reskilling to meet future demands.
- Providing and promoting that everyone in the IKEA value chain is empowered to play an active role in their work. Everyone is free to join or form associations of their choice (or to refrain from doing so) and bargain collectively.
- Providing and promoting that everyone in the IKEA value chain is recruited in a responsible way and is free to enter and end employment.

Being an equal, diverse and inclusive business

- Embracing all dimensions of human diversity and strive to reflect the demographics of the societies in which we operate. Actively working to prevent discrimination and ensuring equality in opportunity and treatment.
- Promoting accessible and inclusive workplaces both in structure and culture, where people can be themselves and their voices are heard.
- Being a child-friendly business, securing child safeguarding, family-friendly practices, and inclusion and empowerment of children and youth.,

In FY22, we revised and strengthened our ambition and commitments, as reflected in our updated strategy. The updated social commitments were launched on the first day of FY23: 1 September 2022. Our updated strategy is shown here and is reflected in the structure of this chapter. However, the content of this report is based on progress made during FY22, when the previous ambition, commitments and structure were still in place.

FY22 summary of progress

In FY22, we revised the Fair & equal focus area of our sustainability strategy, strengthening our commitments to tackle inequality and placing the respect for human rights at the foundation of business operations.

The update includes strengthened commitments to contribute to more resilient societies with a continued focus on children as a particularly vulnerable group, and new commitments in areas like ensuring a just transition to a net-zero/low-carbon and circular economy.

We're placing an increased focus on providing and promoting living wages and incomes across the value chain and have also included a commitment to promote a human-centric approach to our digital touchpoints and data-driven processes. The revision process has included a broad range of stakeholders representing a variety of civil society organisations, NGOs, youth activists, and UN agencies working to enhance human rights and social responsibility. We're now in the process of setting strategic goals to make our social commitments more operational.

During the year, we began the work of setting a Responsible Wage Practices (RWP) baseline within IKEA operations and throughout the value chain (page 44). We also continued to operationalise the UN Guiding Principles on Business and Human Rights, including developing a business and human rights training for co-workers and establishing a stronger governance structure (page 42). In line with the new commitments, we established a cross-organisational project team to investigate ways to develop an inclusive and socially impactful offer that can support us in tackling inequality through our range and services. We developed a new training on child safeguarding and strengthened efforts to tackle child rights risks in deeper supply chains through a pilot project in the natural fibres supply chain. During the year, the gender balance improved in many IKEA organisations (page 46).

The war in Ukraine has, in many ways, overshadowed the year. Our priority has been to secure the health and safety of our co-workers and the people in our value chain. We also took immediate action to support people in Ukraine, engaging with human rights organisations to provide humanitarian aid to children and their families, focusing on emergency aid and longer-term humanitarian support (page 42).

The work to play our full part in contributing to a fair and equal society is ongoing, and we'll continue to find ways to strengthen our efforts.



SUPPORTING DOCUMENT 3:

Date: 2022

Link: IKEA. IKEA. “Inter IKEA Holding B.V. Annual report FY22”, 2022. Accessed 4 Nov. 2023.

position of The Company. The Company is actively monitoring and addressing these developments and believes that its corporate income tax position is appropriately reflected in the financial statements.

Net profit for the year amounts to EUR 0.7 billion (FY21: EUR 1.4 billion). The reduction versus previous year is primarily the result of rising cost of purchasing and transportation which were absorbed in our financial results to limit sales price increases as much as possible.

Balance sheet

Most of the Group's balance sheet positions as per 31 August 2022 have not changed significantly when compared to 31 August 2021. Fixed assets primarily comprise the IKEA Proprietary Rights ("IP Rights"), relating to the IKEA trademark, protection rights, intellectual property rights and the rights to the IKEA catalogue, with a book value of EUR 9.4 billion.

The Group owns several property buildings, offices and distribution centres across the world, including the IKEA Delft store. Additionally, the Group owns 35 IKEA furniture production units, mostly located in Europe, as well as two factories that produce furniture components (screws, plugs, etc.). In FY22, investments were made in extending or improving existing production units. The process of finding new ownership for the 4 Russian production units is expected to be finalized beginning of 2023. Anticipating this sale, an estimation of the proceeds has been made and assets have been impaired.

Inventories mostly consist of IKEA products located in, or underway to distribution centres. Inventory levels were particularly low during FY20 and FY21 as transport constraints in combination with high customer demand posed a challenge in replenishing inventory to a desired level. During FY22, the Group increased its inventory levels securing a better availability of products for our customers. The high purchasing costs are reflected in inventory at the balance sheet date, leading to a large increase in value.

Receivables mainly relate to IKEA retailers for franchise fees and IKEA products sold and invoiced. The Group also holds receivables on related parties.

Group equity decreased from EUR 10.1 billion to EUR 9.8 billion in FY22. EUR 850 million will be distributed as a dividend to our shareholder, reducing retained earnings by EUR 140 million.

Provisions for the majority are recognized for deferred taxes, legal disputes and product related claims. The non-current liabilities relates to a loan received from Interogo Holding AG. Current liabilities consist of short-term loans, trade payables and tax payables. The payable to related parties increased significantly during the year, primarily to fund working capital needs.

Reduced Group equity (before dividend distribution) combined with an increase in our non-current liabilities result in a decline in equity ratio of 47% in FY21 to 40% in FY22.

Cash flows

The increase in inventory levels to improve the availability of products in combination with high purchasing cost has led to a negative cash flow from operating activities during FY22. This negative cash flow, as well as interest payments, tax payments and investments, was funded with short term financing provided by our non-controlling shareholder, Interogo Holding AG. During the year, the Group also repaid loans and distributed dividend to Interogo Holding AG.

CONSOLIDATED PROFIT AND LOSS ACCOUNT FY22

(in millions of EUR)

	FY22	FY21
Net turnover	27,345	25,534
Change in inventory of finished goods	204	66
Other operating income	29	15
Total operating income (17)	**27,578**	**25,615**
Cost of raw materials and consumables	23,404	21,137
Cost of outsourced work and other external costs	247	243
Salaries and wages	954	856
Social charges	235	210
Pension expenses	105	100
Depreciation and amortisation (4,5)	477	522
Impairments of tangible and intangible fixed assets (4,5)	149	-
Other operating expenses	973	691
Total operating expenses (18)	**26,544**	**23,759**
Operating result	**1,034**	**1,856**
Financial income	250	210
Financial expense	353	361
Financial income and expense (19)	**(103)**	**(151)**
Result before tax	**931**	**1,705**
Income tax (20)	221	272
Net result	**710**	**1,433**

(See accompanying notes)

IKEA Industry is a strategic IKEA manufacturer that produces IKEA home furnishing products and develops unique IKEA capabilities and capacities in relevant parts of the value chain (e.g. material and manufacturing). Industry produces approximately 11% of the total IKEA range, with its main focus on wood based furniture. Its operations are conducted through 36 production units that include forestry, sawmills, as well as production of board material, wood components and ready furniture.

IKEA Components develops, sources, packs and supplies components such as screws and wooden dowels that are used to assemble IKEA furniture.

Governance structure
The Group's governance is also organised through the three core businesses with the risk management structures, internal control and compliance tailored to their specific business characteristics. The Group's governance structure is based on two main considerations: to secure the growth and development opportunities of the IKEA Brand and the IKEA Concept, and to guarantee the Group's independence and ability to maintain a long-term perspective. The legal structure follows along the lines of governance with separate parent companies for each of the core businesses. The Company has two main governing bodies: the Management Board and the Supervisory Board.

Financial information

These financial statements cover the 12-month period from 1 September 2021 to 31 August 2022 ('FY22'). Comparative figures reflect the 12-month period from 1 September 2020 to 31 August 2021 ('FY21').

Profit and loss account
Total operating income in FY22 amounts to EUR 27.6 billion (+7.7% compared to FY21), mainly generated through sales of goods to IKEA franchisees and through charged franchise fees. Operating income development is directly linked to the retail sales of all IKEA franchisees worldwide since these sales drive the Group's wholesale activities and form the base for the franchise fees.

In FY22, IKEA retail operations were less impacted by measures related to the Corona virus. Unlike in FY20 and FY21, most IKEA stores remained open without (severe) restrictions and store visitation went up compared to the years before. As a result and following retail price increases, an uplift in store sales is visible, while the online sales remain at a high level. Although there are still challenges to maintain the supply of furniture to the retailers, the availability of products for our customers has improved.

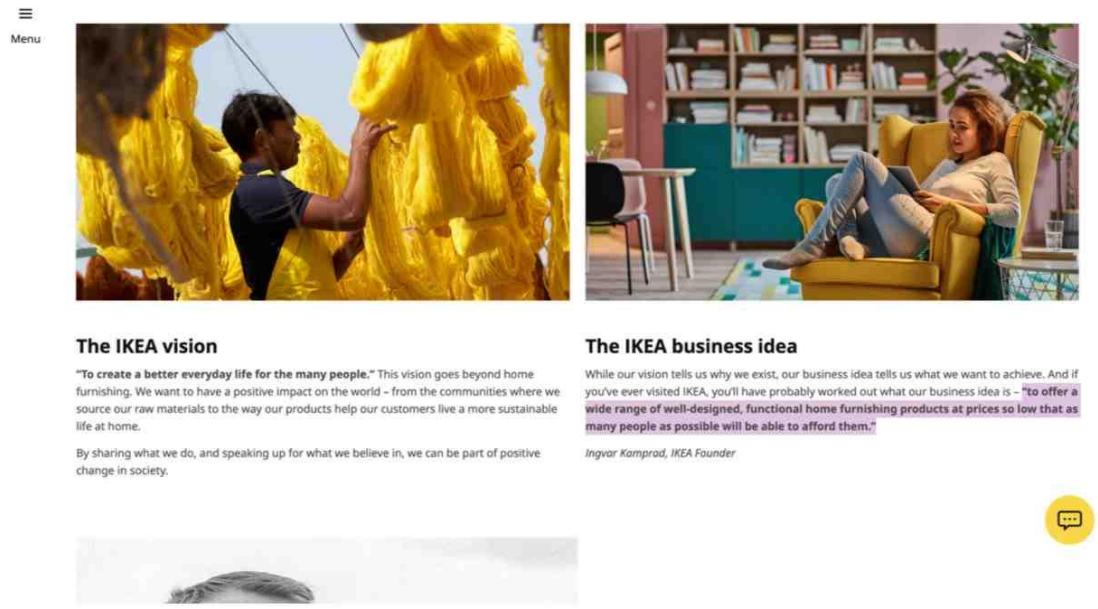
While sales grew in value, sales in volumes and number of products sold have not grown. Many households experience higher cost of living due to inflation and rising energy prices. This leads to thinner wallets which means fewer people can afford to shop at IKEA today. In FY22, prices for raw materials, commodities, transportation and logistics continued to increase, creating additional costs for the whole IKEA value chain and a need for the Group to increase sales prices to the IKEA franchisees.

Most of our operating expenses comprise cost of raw materials and consumables relating to the manufacturing and procurement of finished goods. Cost of raw materials and consumables also include direct transport, storage and handling cost. In FY22 – like in FY21 – an upward trend resulted in the cost of raw materials and consumables increasing at a faster pace than operating

SUPPORTING DOCUMENT 4:

Date: Accessed 7 Jan. 2024.

Link: "IKEA Website." *IKEA*, IKEA.com, 2023, www.ikea.com/. Accessed 7 Jan. 2024.



Menu

The IKEA vision

"To create a better everyday life for the many people." This vision goes beyond home furnishing. We want to have a positive impact on the world – from the communities where we source our raw materials to the way our products help our customers live a more sustainable life at home.

By sharing what we do, and speaking up for what we believe in, we can be part of positive change in society.

The IKEA business idea

While our vision tells us why we exist, our business idea tells us what we want to achieve. And if you've ever visited IKEA, you'll have probably worked out what our business idea is – **"to offer a wide range of well-designed, functional home furnishing products at prices so low that as many people as possible will be able to afford them."**

Ingvar Kamprad, IKEA Founder

Getting there requires a clear vision followed by a concrete action plan. The purpose of IKEA's annually-revised sustainability strategy, entitled People & Planet Positive, is to inspire, activate and lead the business in decision-making and goal setting so that we, together, can achieve the big positive changes we want to see – both across the entire IKEA ecosystem and in the world at large.

The strategy identifies three major sustainability challenges that are highly relevant for the IKEA business: climate change, unsustainable consumption, and rising inequality. Each of these in turn lay the foundation for the strategy's three sections: **Circular & climate positive**; **Healthy & sustainable living** and **Fair & equal**. Our sustainability ambitions and commitments are set for 2030 in line with the UN Sustainable Development Goals.

Fair & equal is the most recent addition to the strategy, strengthening IKEA's commitment to tackling inequality and putting respect for human rights as a foundation for business operations – from contributing to more resilient societies, focusing on children as a particularly vulnerable group, as well as ensuring a just transition to a net-zero and circular economy. IKEA is committed to providing and promoting living wages and incomes across the value chain.

With the People & planet positive strategy as the guiding framework, we will work together across the IKEA organisation, and beyond, to achieve continuous improvements. And while we don't have all the answers and cannot achieve our goals alone, we are committed to being collaborative and transparent about what we learn.

Open the strategy →

Transforming into a circular business

Our ambition is to be circular and climate positive by 2030, and to inspire and enable the many people to live a better everyday life within the boundaries of the planet. This is a huge change that impacts every aspect of what we do, from how we meet customers to which products and services we develop. It will affect our complete IKEA value chain and the sourcing of energy and materials.

Watch: why the future of furniture is circular →

9500+

products have been assessed for circularity.

21.5 million+

assembly parts were offered to customers in FY22 to extend the life of our products.



Healthy, sustainable, affordable living for everyone

In order to make impactful, positive change, we aim to inspire as many people as possible to live more sustainably. With our scale and reach, we have a big opportunity and responsibility to lead the way by making healthy and sustainable living affordable, desirable and accessible for the many people.

Our ambition for 2030 is to inspire and enable more than one billion people to live a better everyday life within the boundaries of the planet. One way we aim to reach this is by developing our products using the IKEA circular product design principles and continuously improving our ways of working with sustainability in the IKEA Democratic Design approach. Democratic Design is a method we use to develop products that are more sustainable, beautiful, functional and high quality, at the lowest price possible – good design that's accessible to the many people. More than 9,500 products ranging from furniture to home furnishing accessories, have been assessed for their circular capabilities.

SUPPORTING DOCUMENT 5:

Date: 2022

Link: Li, Xiangyi, et al. "Application of Sustainable Development Theory in Furniture Industry Development—a Case Study of Ikea." *Proceedings of the 2022 6th International Seminar on Education, Management and Social Sciences (ISEMSS 2022)*, 2022, pp. 658–671, https://doi.org/10.2991/978-2-494069-31-2_81. Accessed 1 Nov. 2023.

2.1.4 Investments in Emerging Markets and Fields

IKEA continued to invest in emerging marketing such as Mexico, India, and China. It planned to establish stores, offices, and warehouses in order to help IKEA continue to advance. For example, IKEA invested more than 1.5 billion USD in India and 170 million USD in Mexico in 2019. A 100-million-yuan program was planned in China to conduct lower price input [12, 13].

To boost developments in key areas, IKEA also made full use of its liability and asset values. Loads of fund was spent on logistics, shopping malls, forest, renewable energy, design platforms, and tech start-ups throughout the world [14]. The returns of investment were significant short-term improvements and potential long-term sustainability. It has not only created more jobs but also led to more sustainable economic growth in different markets. More importantly, IKEA's investment was consistent with the green policy of different governments, its present situation, and its own business ambition.

2.2 Environmental Sustainability

Environmental sustainability necessitates an enterprise's awareness of the environment's fragility and relevance to humans, including climate, energy, recyclable materials, and so on. It determines if a company can contribute significantly to environmental conservation while focusing on its own growth [15]. Furthermore, many multinational corporations are shifting their business practices to be more environmentally friendly and circular, which has become corporate ethics trend [16].

IKEA has worked to achieve environmental sustainability over the last ten years, focusing on climate protection and waste reduction, and has set a goal for the next ten years in its sustainability report for 2021 [17].

2.2.1 Limitation on Suppliers

Suppliers must comply with IKEA's high environmental criteria, which include the following: 1) Suppliers must make efforts to reduce energy use. 2) The supplier must limit pollution of the air, land, and water. 3) Chemicals and hazardous waste must be handled, stored, and disposed of in an environmentally responsible manner by suppliers. 4) Suppliers should ensure that staff handling chemicals and hazardous waste have the necessary skills and training [18, 19]. From 2010 through 2020, these regulations are aggressively enforced.

IKEA collaborates with approximately 2,100 suppliers to reduce the company's environmental impact while also improving working conditions [20].

2.2.2 Environmental-Friendly Technologies and Products

IKEA collaborated with WWF to develop kitchen, waste management, and lighting solutions. 1) In the kitchen, IKEA was looking for more energy-efficient gadgets and cooking methods that used less water. 2) In terms of trash management, IKEA is committed to assisting with smarter waste management in the home and contributing to a reduction in overall household waste. Meanwhile, there was a lot of room for improvement just by making it easier to properly classify waste and prevent wasting it. 3) In terms of lighting,

and in the global system. To this end, IKEA has set up effective economic performance assessment criteria to understand the interaction between stakeholders' interests and the macro-level economic impact of the business [28]. IKEA's focus on economic sustainability can mitigate conflicts with stakeholders and the environment, which is a positive and sustainable development advantage. At the environmental level, IKEA focuses on environmental protection. From the company's operations to product development, IKEA implements ecological requirements for resource conservation and use and combating environmental pollution [38]. Implementing environmental performance has enabled IKEA to constantly improve its self-assessment, pursue better environmental technologies and enhance its overall competitiveness. By being ecologically conscious and respecting the laws of nature in the pursuit of economic efficiency, the company can restrain its behavior and realize the positive requirements of coexistence with nature [29]. IKEA actively practices social responsibility requirements and maintains equitable development within the global social system at a social level. Internally, IKEA actively safeguards the rights and interests of its employees; globally, it contributes to equal human rights through philanthropic assistance. Corporate social responsibility sets a high ethical standard for the company and contributes to a responsible corporate culture [37]. In addition, fulfilling social responsibility helps maintain relationships between stakeholders and creates good social benefits for the company's development [32]. Overall, IKEA follows the requirements of organizational sustainability theory in three major areas: economic, social, and environmental, which contribute to the establishment of IKEA as a global company with long-term competitiveness.

3.2 IKEA's Sustainable Development Has Defects and Space

3.2.1 IKEA's Current Defects

IKEA embeds the concept of sustainability throughout the organization [39]. Although this is what IKEA managers always emphasize they are practicing the theory, in fact, few employees have a strong perception of sustainability, and most employees think that sustainable development is just a relatively empty concept that has no connection with their daily tasks and goals. Some employees believe that if sustainability becomes an isolated concept, it will cause problems in daily work and company bylaws.

As a result, companies need to introduce specific goals and guidelines for sustainability as part of evaluating managers and colleagues in different areas of the organization. This is highlighted in the discussion of how suppliers are evaluated and key performance indicators (KPIs) that measure and evaluate sustainability performance across the organization. This is seen as a way to create a sense of urgency and relevance for everyone. In addition, the company needs to further deepen the relationship between sustainability and IKEA culture. On the one hand, sustainability may undermine the cost-consciousness that has been a pillar of culture. Efforts have been made to refute this view, demonstrating that sustainability can be good business. On the other hand, managers believe that sustainability is already part of the corporate culture if presented in the right way.

Sustainability is a long-term process that supports the enterprise [39]. The working perspective of business management is much longer. For some groups of employees,

the long-term view of sustainability seems particularly difficult to accept. It, therefore, seems particularly important to establish a long-term perspective in relation to business opportunities when discussing sustainability. IKEA needs to show the public how it can be a sustainable business that uses sustainability of resources rather than exploiting people, strengthens the loyalty of people and communities, and at the same time makes a profit.

Now IKEA is also taking a lot of those profits and putting them back into business and development, and the amount spent and invested in IKEA's sustainability has grown exponentially over the last 20 years. The long-term perspective is not only because of the processes that influence the mindset of colleagues but also because of the long time it takes for the process of change to follow a decision about sustainability. IKEA's sustainability strategy covers three main areas: energy and resources, people and communities, and more sustainable family life. Strategies, therefore, need to be developed based on knowledge of these three areas, such as measures and laws relating to rainforest conservation and development, and an understanding of sustainable development policies in wider society. In addressing the sustainability of people and communities, companies can focus on working closely with social organizations such as pension institutions and UNICEF.

Therefore, the biggest defect of IKEA's development at the present stage is that the concept of sustainable development is too vague in the organization, and the obstacle to sustainable development is in long-term practice.

3.2.2 IKEA's Development Space

Expand product features. How to combine products with the concept of sustainable development is the focus of many employees, who hope to feel the positive impact of sustainable development in their daily work, such as production and transportation. In addition, positive incentives are also essential. A set of KPIs related to sustainable development goals should be set up to motivate employees to actively participate in and practice the sustainable development strategy of the enterprise. Expanding product features also means continuous innovation. There is a large space for development to find more energy-saving and safety optimization schemes from existing LED lamps and other products.

Optimize the consumer experience [39]. In the long term, how to retain customers is crucial. Raising consumer experience, deepening consumer understanding of IKEA, and strengthening after-sales service are very important for IKEA, in the process, such as through a tour of the IKEA furniture manufacturing factory, making consumers know IKEA's further experiments and contribution to sustainable development, and spontaneous transfer the environmental protection consciousness, the growth of the realization of the value chain. In addition, IKEA also should be combined with the policies of different countries, different audiences, and they produce more closely linked, for example, the old man and the child welfare by the policy are more groups, IKEA needs to seize the main groups, and for the community physical structure factors such as rigorous and moral considerations. This is where IKEA can go in terms of dealing with consumers.